CONSILIUM'26
THE ANNUAL BUSINESS CONCLAVE OF NSUT

NSBC

Problem Statement



Toing: Swiggy's ₹99 problem

The Situation

A delivery partner is paid roughly the same to carry a ₹79 thali across Pune as to carry a ₹700 family dinner across Bengaluru. That fact is the whole case. Everything below is context.

In August 2025, Swiggy launched Toing, a standalone app selling meals priced between ₹49 and ₹150 to students and young earners, starting in Pune. The logic was simple enough. College students order food often, just not at ₹700. Compact menus, low prices and volume were supposed to make it work for restaurants and for the platform.

The trouble is arithmetic. Swiggy's core food delivery business runs at an average order value of about ₹700 and, as of its most recent shareholder letter, an adjusted EBITDA margin of roughly 3.1% of gross order value. Last-mile delivery does not get cheaper because the basket is small. Rider payouts and incentives, insurance and payment processing are largely fixed per order. At a ₹700 basket, Swiggy's take covers them with a thin margin to spare. At ₹99, it does not come close, and every additional order widens the loss unless something about the model changes.

Swiggy has been here before. In January 2025 it launched Snacc, a separate app promising snacks and quick bites in 10 to 15 minutes, starting in Bengaluru. Snacc was wound down within about a year. The parallel is not exact, and you should not pretend it is: Snacc was a speed bet, Toing is a price bet. But both were separate apps looking for economics that the main app could not provide. Whether Toing is the same mistake a second time or a different wager altogether is a question you will need to take a position on.

Across the street, Eternal (formerly Zomato), the market leader, has not launched a Toing rival. It has been in this neighbourhood before. Zomato Everyday, its ₹89 home-style meals service, and Zomato Quick, its 15-minute delivery service, were both shut in May 2025, with the company saying it could not see either turning profitable without compromising the customer experience. Since then, Eternal has watched. Is that discipline, or is it handing a generation of first-time food delivery customers to Swiggy?

The cost line, meanwhile, is not getting easier. The Code on Social Security, in force since 21 November 2025, requires aggregators to contribute 1 to 2% of annual turnover to gig-worker welfare, capped at 5% of what they pay those workers, and Karnataka has legislated a per-transaction welfare fee of its own. Swiggy's public shareholders, who bought into the company at its November 2024 listing on the promise of a path to profitability, have their own arithmetic too.

Your mandate

You are the internal strategy team at Swiggy. The Board wants one recommendation on Toing, with the numbers behind it:

1. **Scale it** Grow Toing as a business in its own right, with a credible path to contribution breakeven.
2. **Run it as a funnel.** Accept that Toing loses money on every order, and justify that as a customer acquisition channel for the core app (and Instamart), measured against what Swiggy would otherwise spend to acquire the same users.
3. **Kill it.** Shut Toing as Snacc was shut, and say what, if anything, Swiggy should do instead for the under-₹150 customer.

You may propose a hybrid or a fourth path. You must still commit to one primary recommendation and be ready to explain why the others are worse.

Whatever you recommend, the Board expects to see:

- **Per-order unit economics for a Toing order today.** What the customer pays, what the restaurant keeps, what the delivery costs, what Swiggy is left with. State every assumption and where it came from.
- **The levers that change that arithmetic, and by how much.** Batching several orders per trip, campus pickup points, fixed menus and dedicated kitchens, a small delivery fee or subscription, advertising, or anything else you can quantify. Be clear about which levers Swiggy controls and which depend on restaurants or customers accepting a worse experience.
- **If you argue for the funnel:** what share of Toing users must migrate to ₹700-type ordering, over what period, for the losses to pay back, and how that compares with Swiggy's current cost of acquiring a customer through marketing.
- **The competitive reading.** What your recommendation does to Swiggy's position against Eternal, and what Eternal's most likely response is.
- **What would change your mind.** The two or three assumptions that, if wrong, flip your answer, and how Swiggy would know within twelve months whether the call was right.

Metric for judgement

Criterion	Weight
Unit economics: rigour, transparency and realism of the numbers	30%
Decision quality: one clear recommendation, honestly weighed against the alternatives	25%
Insight: something Swiggy's own strategy team would not already have on a slide (primary research counts here)	20%
Competitive and regulatory reading	15%
Communication (prelims: the deck; finals: presentation and Q&A)	10%

Rules

- Public information only: annual reports, shareholder letters, investor presentations, regulatory filings, credible press, and your own primary research. Do not approach Swiggy, Eternal or their employees for non-public information.
- Primary research is encouraged. Most of you are Toing's target customer. Surveys, order sampling and campus interviews are all fair game, provided you disclose sample size and method.
- Assumptions are not penalised. Unstated or unsourced assumptions are.
- Toing is a small business inside a large one. The Board does not expect you to know its internal metrics. It expects you to estimate them sensibly and show your work.

Format

- **Prelims.** Deck only. Maximum 10 slides excluding cover and appendix; appendix capped at 5 slides. PDF, submitted by *30th September 2026, 11:59PM*. There is no presentation at this stage. Shortlisting happens on the deck alone, so the deck has to make the argument by itself.
- **Finals.** Same problem, no new information. Shortlisted teams present to the judging panel: 10-minute presentation, 5-minute Q&A. Teams may revise their deck between rounds. Judges will have your prelims deck in front of them and may ask about anything that changed.

Guidelines for submission

1. Teams will submit a pitch deck of not more than 10 slides, with an appendix of not more than 5 additional slides. The appendix may be referred to during Q&A but will not be presented.

2. Each team presents for 10 minutes, followed by 5 minutes of questions from the panel.

3. Team size, registration and submission deadlines are as per the event rules circulated separately.

4. Facts about the company come only from this document. Outside market data is welcome, and expected, provided it is cited.

5. There is no single right answer to this case. Teams will be judged on how coherent, rigorous and defensible their recommendation is, particularly under questioning.

DEADLINE: 30th September 2026, 11:59PM

Aarushi
+91 8800861075
Event Lead

Yashwani
+91 7404404862
Event Lead

Akanksha
+91 70119 92284
Event Lead

Netaji Subhas University of Technology, Dwarka Sector-3, New Delhi, 110078, South Delhi, Delhi, India
fes@nsut.ac.in | consilium.fesnsut.com